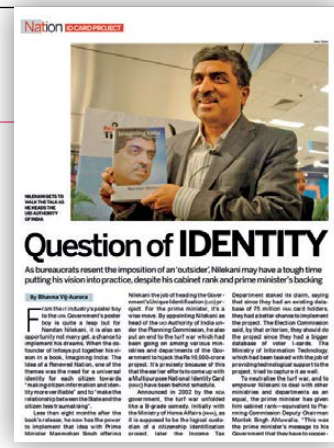
FROM THE ARCHIVES
Jul. 13, 2009

Nation **A Question of Identity**

From the IT industry's poster boy to the UPA Government's poster boy is quite a leap but for Nandan Nilekani, it is also an opportunity not many get, a chance to implement his dreams. When the cofounder of Infosys put together his vision in a book, *Imagining India: The Idea of a Renewed Nation*, one of the themes was the need for a universal identity for each citizen towards "making citizen information and identity more verifiable" and to "make the relationship between the State and the citizen less traumatising". Less than eight months after the book's release, he now has the power to implement that idea....

–Bhavna Vij-Aurora


Nation BOARD PROJECT

Question of IDENTITY

As bureaucrats resent the imposition of an 'outsider', Nilekani may have a tough time putting his vision into practice, despite his cabinet rank and prime minister's backing

By Bhavna Vij-Aurora

From the IT industry's poster boy to the UPA Government's poster boy is quite a leap but for Nandan Nilekani, it is also an opportunity not many get, a chance to implement his dreams. When the co-founder of Infosys put together his vision in a book, Imagining India: The Idea of a Renewed Nation, one of the themes was the need for a universal identity for each citizen towards "making citizen information and identity more verifiable" and to "make the relationship between the State and the citizen less traumatising".

Less than eight months after the book's release, he now has the power to implement that idea with Prime Minister Manmohan Singh offering Nilekani the job of heading the Government's Unique Identification (UID) project. For the prime minister, it's a wise move. By appointing Nilekani as head of the six Authority of India under the Planning Commission, he also put an end to the turf war which had been going on among various ministries and departments of the Government to launch the Rs 10,000-crore project. It's precisely because of this that he can now offer to come up with a Multipurpose National Identity Card (MNIC) have been behind schedule.

Announced in 2002 by the NDA government, the turf war unfolded like a Brigade comedy. Initially with the Ministry of Home Affairs (MHA), as it is supposed to be the logical custodian of a citizenship identification project, later the Income Tax Department staked its claim, saying that since they had an existing database of 75 million tax card holders, they had a better chance to implement the project. The Election Commission said, by that criterion, they should do the project since they had a bigger database of voter I-cards. The Ministry of Information Technology, which had been tasked with the job of providing technological support to the project, tried to capture it as well.

To neutralise the turf war, and to empower Nilekani to deal with other ministries and departments as an equal, the prime minister has given him cabinet rank—equivalent to Planning Commission Deputy Chairman Montek Singh Ahluwalia. "This was the prime minister's message to his Government that they have to cooper-

"The plan is to give a unique identification number that can be used as a base platform, which enables all agencies providing services"



— MONTEK SINGH AHLUWALIA, *then deputy chairman, Planning Commission, to* INDIA TODAY, *2009*

DID YOU KNOW?

World Bank's former chief economist and Nobel laureate Paul Romer has described Aadhaar as "the most sophisticated ID programme in the world"

Nilekani's leadership is widely credited with turning a conceptual idea into reality. In his words, "All I had was one page saying, 'Give every Indian a unique ID.' It didn't say how." By 2010, Aadhaar had a brand name, logo and rollout strategy, with Nilekani ambitiously aiming for 600 million unique IDs before stepping down.

However, Aadhaar's mass implementation gained momentum under the Narendra Modi-led National Democratic Alliance (NDA) government, which gave the project a decisive push. In 2016, the Aadhaar (Targeted Delivery of Financial and Other Subsidies, Benefits and Services) Act was passed, solidifying its role in good governance. By linking Aadhaar to schemes such as subsidies, pensions and employment benefits, the government enhanced transparency and minimised leakages.

Despite its benefits, Aadhaar has faced scrutiny, particularly concerning data privacy and security. While the Supreme Court upheld its constitutionality, it restricted Aadhaar's mandatory use for services like opening bank accounts, obtaining mobile numbers, and school admissions unless tied to government subsidies.

Nonetheless, Aadhaar's integration into the financial ecosystem has been transformative. By linking it to bank accounts, the Aadhaar Payment Bridge enables direct benefit transfers, streamlining welfare delivery. The Aadhaar Enabled Payment System, meanwhile, empowers individuals to conduct basic banking transactions easily, but securely. This proved invaluable during the Covid-19 pandemic, facilitating seamless transfers to millions.

With 1.38 billion Aadhaar numbers issued as of October 2024, its impact is undeniable. By bridging gaps in governance, empowering citizens and driving financial inclusion, Aadhaar remains a cornerstone of India's digital transformation, albeit one that must continuously balance innovation with the protection of individual rights. ■

TARGETED BENEFITS

» **Aadhaar is preventing leakages in direct benefit transfers (DBT) to weaker sections by becoming their single point of identity**

» **In FY 2024, over 10 billion such transactions were made, transferring Rs 6.9 lakh crore in social welfare benefits**

» **The Aadhaar Enabled Payment System, used largely by India's teeming migrant population, is helping them send and receive payments securely**

» **As many as 202 million such transactions worth Rs 23,600 crore were made in Sept. 2024**